

accessibility of these products through the capital markets, these vehicles and others have found their way into investors' portfolios and onto the recommended lists of many financial advisors. The impact of this is seen in a 2015 survey among financial advisors that found they had placed 73 percent of their clients in alternative investments, and that nearly three-quarters of advisors planned to maintain their current alternative investment allocations.¹⁴

The survey also showed that in terms of asset allocation, most advisors were recommending a range of 6 percent to 15 percent of a client's portfolio in alternatives. A smaller but not insignificant percentage of advisors recommended 16 percent to 25 percent of their clients' portfolios in alternatives.

Bitcoin and other cryptoassets are alternative assets that can be safely and successfully incorporated into well-diversified portfolios to meet these asset allocation recommendations.¹⁵ However, every alternative investment has its unique set of characteristics, and the innovative investor must understand these.

The potential of bitcoin and other cryptoassets is so great that we believe they should be considered an asset class of their own. We can easily see them more and more commonly used in many innovative portfolios. We explain why we think cryptoassets will increasingly be incorporated into mainstream retail portfolios, first starting with an exploration of how bitcoin's risk, reward, and risk-reward profiles have evolved over the course of its life.